# Moving Average Convergence Divergence (MACD) Strategy Guide

## Overview

MACD is a trend-following momentum indicator that shows the relationship between two exponential moving averages (typically 12 EMA and 26 EMA) alongside a signal line (9 EMA).

## Key Components

- **MACD Line:** (12 EMA - 26 EMA)

- **Signal Line:** 9 EMA of the MACD Line

- **Histogram:** MACD Line - Signal Line

## Trading Rules

1. **Bullish Crossover:** MACD Line crosses ABOVE Signal Line from below the zero line. Signals accelerating upward momentum.

2. **Bearish Crossover:** MACD Line crosses BELOW Signal Line from above the zero line. Signals accelerating downward momentum.

3. **Zero Line Confluence:** Crossovers occurring above the zero line represent strong bullish trends; crossovers below the zero line represent strong bearish trends.